TB Population Profile Report

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Trial Balance — FY2025
Source File	meridian_tb_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	PPR-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

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TB Population Profile Report

Meridian Capital Group, LLC

23rd October 2026 • PPR-2026-1023-203

I. Scope

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Period Tested ... FY 2025 (January 1 – December 31, 2025)
Source ... Trial Balance — FY2025 (meridian_tb_fy2025.csv)
Unique Accounts ..................................... 247
Total Population Value ................. $12,847,392.50
Gini Coefficient ....................... 0.7823 (High)
Data Quality Score ............................. 94.8%
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Gini concentration thresholds: Low (< 0.40) · Moderate (0.40–0.65) · High (> 0.65)

The automated population profile analysis procedures documented in this workpaper were performed on the trial balance population provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Descriptive Statistics

Statistic	Value
Mean (Absolute Balance)	$52,012.52
Median (Absolute Balance)	$18,450.00
Standard Deviation	$198,750.00
Minimum	$125.00
Maximum	$4,250,000.00
25th Percentile (P25)	$4,200.00
75th Percentile (P75)	$67,500.00

The population exhibits a right-skewed (positively skewed) distribution with a mean of $52,012.52 versus a median of $18,450.00. The coefficient of variation (382%) indicates high dispersion relative to the mean. The interquartile range (IQR) spans $63,300.00, with the maximum account balance of $4,250,000.00 representing a significant outlier at 81.7x the mean.

Data Quality Score Breakdown

Component	Weight	Score
Completeness (missing names/balances)	40%	100.0%

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Normal Balance Compliance	35%	87.4%
Active Balances (non-zero)	25%	98.4%
Overall Score		94.8%

III. Magnitude Distribution

Bucket	Count	% of Accounts	Sum of Balances
Zero (<$0.01)	4	1.6%	$0.00
<$1K	32	13.0%	$17,750.00
$1K–$10K	78	31.6%	$387,250.00
$10K–$100K	95	38.5%	$2,245,000.00
$100K–$1M	35	14.2%	$3,047,392.50
>$1M	3	1.2%	$7,150,000.00
Total	247	100.0%	$12,847,392.50

Accounts with balances exceeding $100,000 (38 accounts, 79.4% of total population value) warrant substantive audit attention. Conversely, 36 account(s) fall below $1,000 — these may represent immaterial balances that can be addressed through analytical procedures rather than detailed testing.

IV. Concentration Analysis

The Gini coefficient of **0.7823** indicates **High** concentration. A Gini of 0 means all accounts have equal balances; 1.0 means one account holds all value. Higher concentration warrants targeted substantive procedures on dominant accounts.

Rank	Account #	Account	Category	Net Balance	% of Total
1	4000	Revenue — Consulting Services	Revenue	$-4,250,000.00	33.1%
2	5000	Cost of Goods Sold	Expense	$1,650,000.00	12.8%
3	1500	Property, Plant & Equipment	Asset	$1,250,000.00	9.7%
4	2300	Long-Term Debt	Liability	$-875,000.00	6.8%
5	6100	Salaries & Wages	Expense	$742,000.00	5.8%
6	1200	Accounts Receivable — Trade	Asset	$485,000.00	3.8%
7	6200	Rent Expense	Expense	$324,000.00	2.5%
8	2000	Accounts Payable	Liability	$-298,000.00	2.3%
9	6300	Depreciation Expense	Expense	$275,000.00	2.1%
10	1000	Cash and Cash Equivalents	Asset	$215,000.00	1.7%

The top 5 accounts collectively represent 68.2% of total population value. Per AU-C Section 520, this level of concentration requires the auditor to evaluate whether analytical procedures alone provide sufficient appropriate audit evidence or whether substantive testing of individual balances is necessary.

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IV-A. Account Type Stratification

Account Type	Count	% of Accounts	Total Balance	% of Population
Asset	52	21.1%	$3,217,000.00	25.0%
Liability	38	15.4%	$1,890,000.00	14.7%
Equity	12	4.9%	$824,392.50	6.4%
Revenue	28	11.3%	$5,325,000.00	41.4%
Expense	117	47.4%	$1,591,000.00	12.4%

Note: Revenue account(s) represent a disproportionate share (> 40%) of total population value, warranting focused analytical procedures.

IV-B. Benford's Law — First Digit Analysis

Benford's Law predicts the frequency of leading digits in naturally occurring numerical datasets. Significant deviation from expected frequencies can indicate data anomalies warranting further investigation.

Digit	Expected %	Observed %	Variance
1	30.1%	30.9%	+0.8pp
2	17.6%	16.5%	-1.1pp
3	12.5%	13.2%	+0.7pp
4	9.7%	9.5%	-0.2pp
5	7.9%	8.2%	+0.3pp
6	6.7%	7.0%	+0.3pp
7	5.8%	5.8%	-0.0pp
8	5.1%	4.5%	-0.6pp
9	4.6%	4.5%	-0.0pp

Chi-square statistic: **2.347** | MAD: **0.00455** | Conformance: **Conforming**

Analysis performed on 243 of 247 accounts (zero-balance accounts excluded). The MAD (Mean Absolute Deviation) conformity thresholds follow Nigrini (2012): Conforming (< 0.006), Acceptable (< 0.012), Marginally Acceptable (< 0.015), Nonconforming (≥ 0.015). The chi-square critical value at p=0.05 with 8 degrees of freedom is 15.507.

Most deviated digits: 2, 8. Asterisk (*) denotes deviation exceeding ±5 percentage points.

V. Exception Flags

This section identifies 11 exception(s) across three categories: normal balance violations (3), zero/near-zero balances (6), and dominant account risk flags (2). Each exception should be evaluated by the engagement team to determine whether it represents a data quality issue, an intentional accounting treatment (e.g., contra accounts), or a potential misstatement.

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V-A. Normal Balance Violations

Under standard double-entry bookkeeping, assets and expenses carry debit (positive) normal balances, while liabilities, equity, and revenue carry credit (negative) normal balances. Accounts whose balance sign contradicts the expected direction may indicate contra accounts, reclassifications, or posting errors.

Account #	Account Name	Type	Expected	Actual	Balance
1210	Accumulated Depreciation — Vehicles	Asset	Debit	Credit	$-47,250.00
1220	Accumulated Depreciation — Equipment	Asset	Debit	Credit	$-128,500.00
4500	Sales Returns & Allowances	Revenue	Credit	Debit	$18,750.00

V-B. Zero and Near-Zero Balances

Account #	Account Name	Type	Balance	Status
1150	Short-Term Investments	Asset	$0.00	Zero
2450	Warranty Reserve	Liability	$0.00	Zero
6800	Bad Debt Expense	Expense	$0.00	Zero
7200	Discontinued Operations	Expense	$0.00	Zero
1160	Petty Cash	Asset	$75.00	Near-Zero
6950	Miscellaneous Expense	Expense	$50.00	Near-Zero

V-C. Dominant Account Risk Flags

Account	Balance	% of Total	Risk Note
Revenue — Consulting Services	$-4,250,000.00	33.1%	Account represents 33.1% of total population value. Apply substantive procedures and obtain management representation.
Cost of Goods Sold	$1,650,000.00	12.8%	Account represents 12.8% of total population value. Apply substantive procedures and obtain management representation.

Note: The concentration analysis in Section IV also identifies top accounts. This section provides separately rendered, actionable risk flags for accounts exceeding 10% of total population value.

VI. Suggested Audit Procedures

Priority	Area	Procedure
High	Normal Balance Violations	3 account(s) carry balances contrary to their expected normal balance. Obtain management explanation and verify intentionality (e.g., contra accounts, reclassifications).

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Priority	Area	Procedure
High	Concentration Risk	Gini coefficient of 0.7823 indicates High concentration. Top account (Revenue — Consulting Services) represents 33.1% of population. Apply substantive procedures to accounts exceeding 10% of total population value.
High	Dominant Accounts	2 account(s) exceed 10% of total population value. Perform detailed testing on each dominant account, including independent substantive analytical procedures per AS 2305.
Low	Zero-Balance Accounts	4 zero-balance account(s) identified. Confirm whether accounts should be closed or retained for ongoing activity.
Low	Near-Zero Accounts	2 near-zero account(s) (balance ≤ $100) identified. Evaluate whether these represent stale or orphaned accounts.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Authoritative References

Body	Reference	Topic	Status
AICPA	AU-C Section 520	Analytical Procedures	Current
AICPA	AU-C Section 530	Audit Sampling	Current
PCAOB	AS 2305	Substantive Analytical Procedures	Current

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This memo documents automated population profile analysis testing procedures with reference to AU-C Section 520 (Analytical Procedures), AU-C Section 530 (Audit Sampling), and AS 2305 (Substantive Analytical Procedures). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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